APRIL 2026

From Stabilization to Transformation

A growth diagnostics brief on Pakistan, prepared by the Growth Lab at the Harvard Kennedy School.

Pakistan stands at a critical juncture.

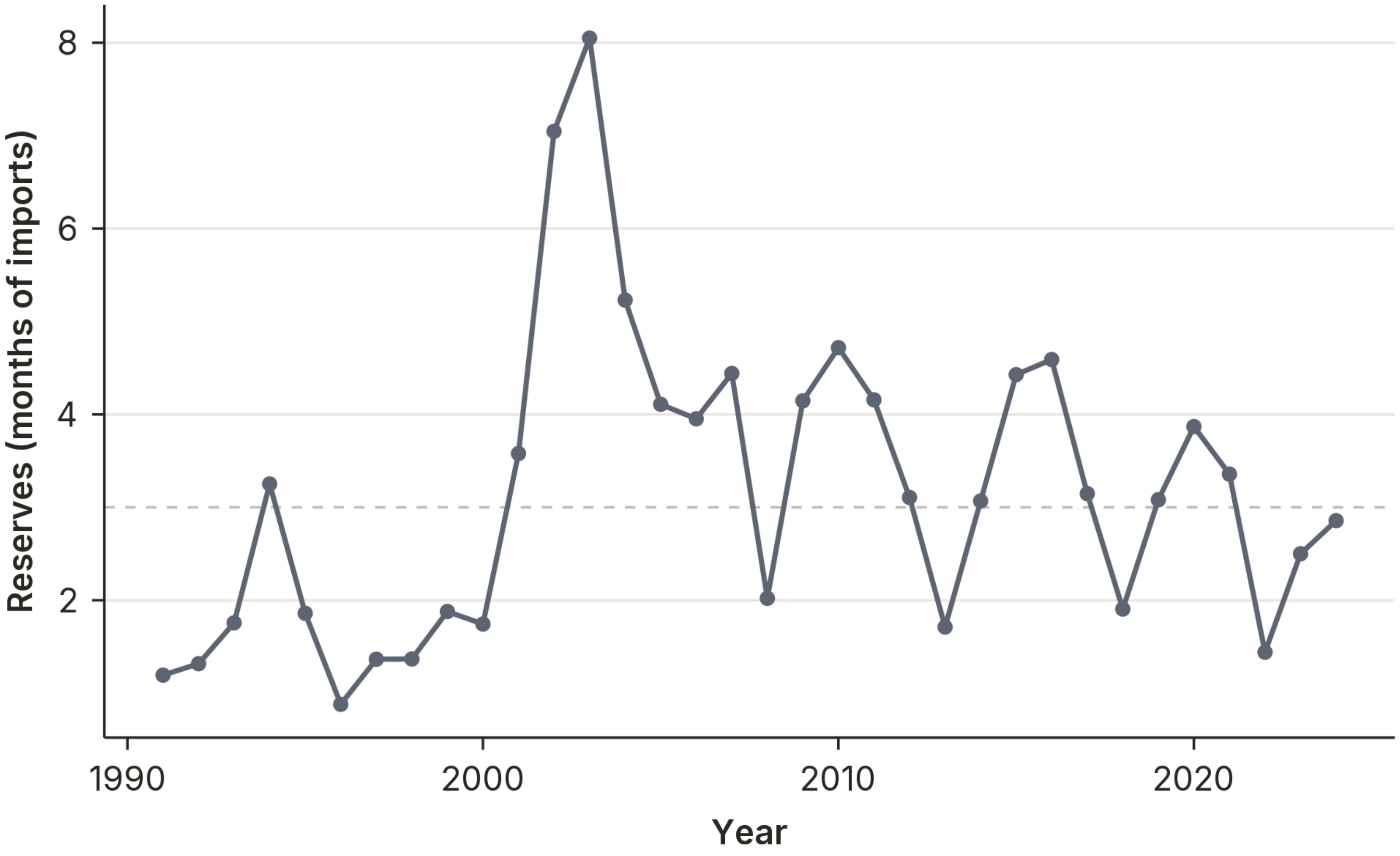
After decades of boom-bust cycles driven by recurring balance-of-payments crises, the country has entered a new stabilization phase under its latest IMF program. But stabilization alone is not a growth strategy.

> Pakistan's growth above 2% per capita has historically been associated with current account deterioration — a structural constraint that can only be relaxed through export diversification and a coherent macro-fiscal framework.

PART ONE

The growth speed limit.

Why every recovery hits the same ceiling — and what the data say about the constraint that keeps pulling Pakistan back.



THE BOOM-BUST PATTERN

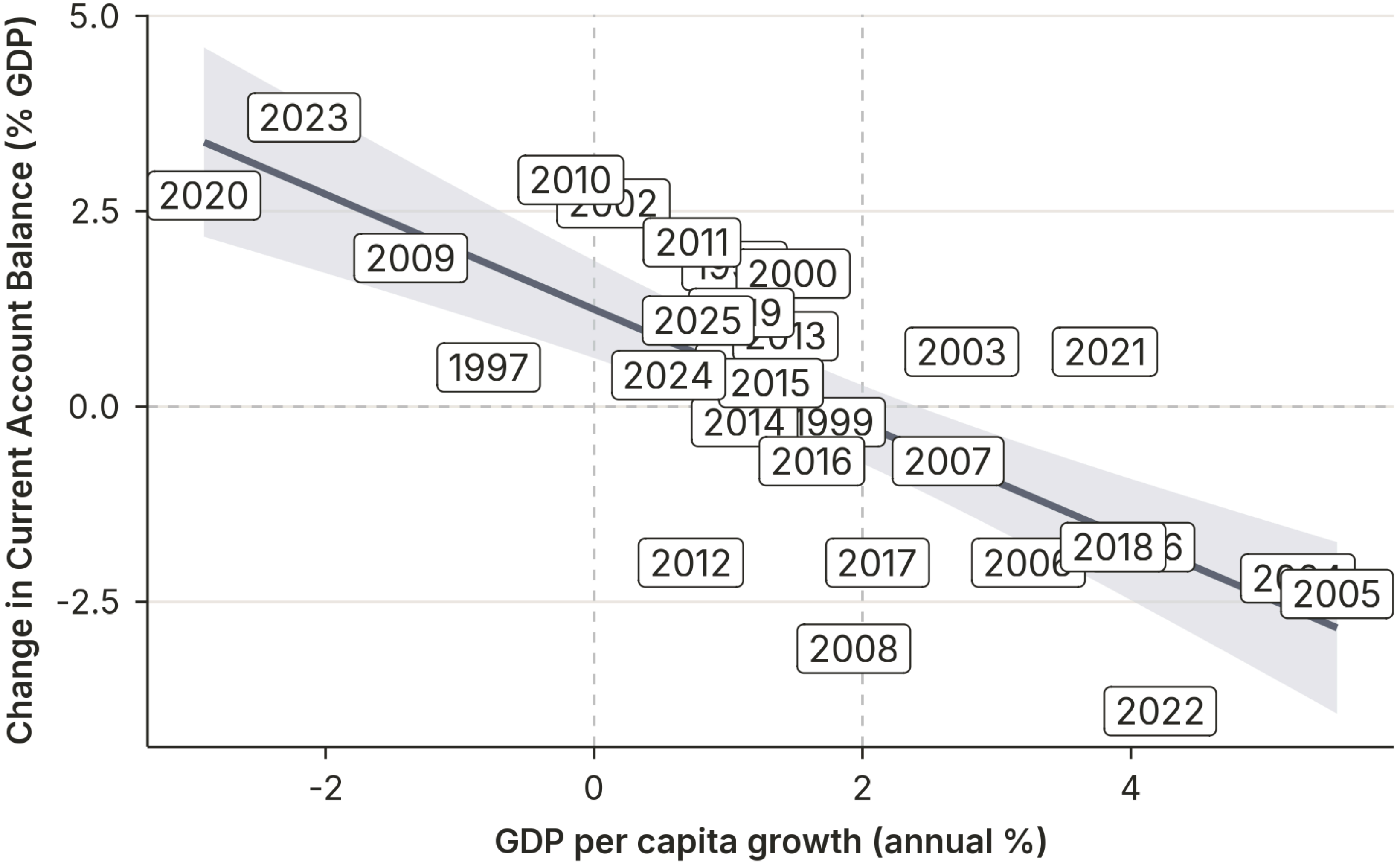
Reserves keep falling to the three-month wall.

Pakistan has entered at least **seven IMF programs since 1990**, each one triggered by reserves dipping below the three-month-of-imports threshold.

Each episode breaks the growth cycle before productive momentum can build.

FIGURE 2

Faster growth means a worsening current account.



Source: IMF WEO October 2025.

Two perspectives on the speed limit.

Fiscal imbalances

Chronic fiscal deficits drain foreign reserves through the current account, forcing periodic stabilization.

Lagging exports

A narrow and declining export base means domestic demand growth spills straight into imports without matching foreign exchange earnings.

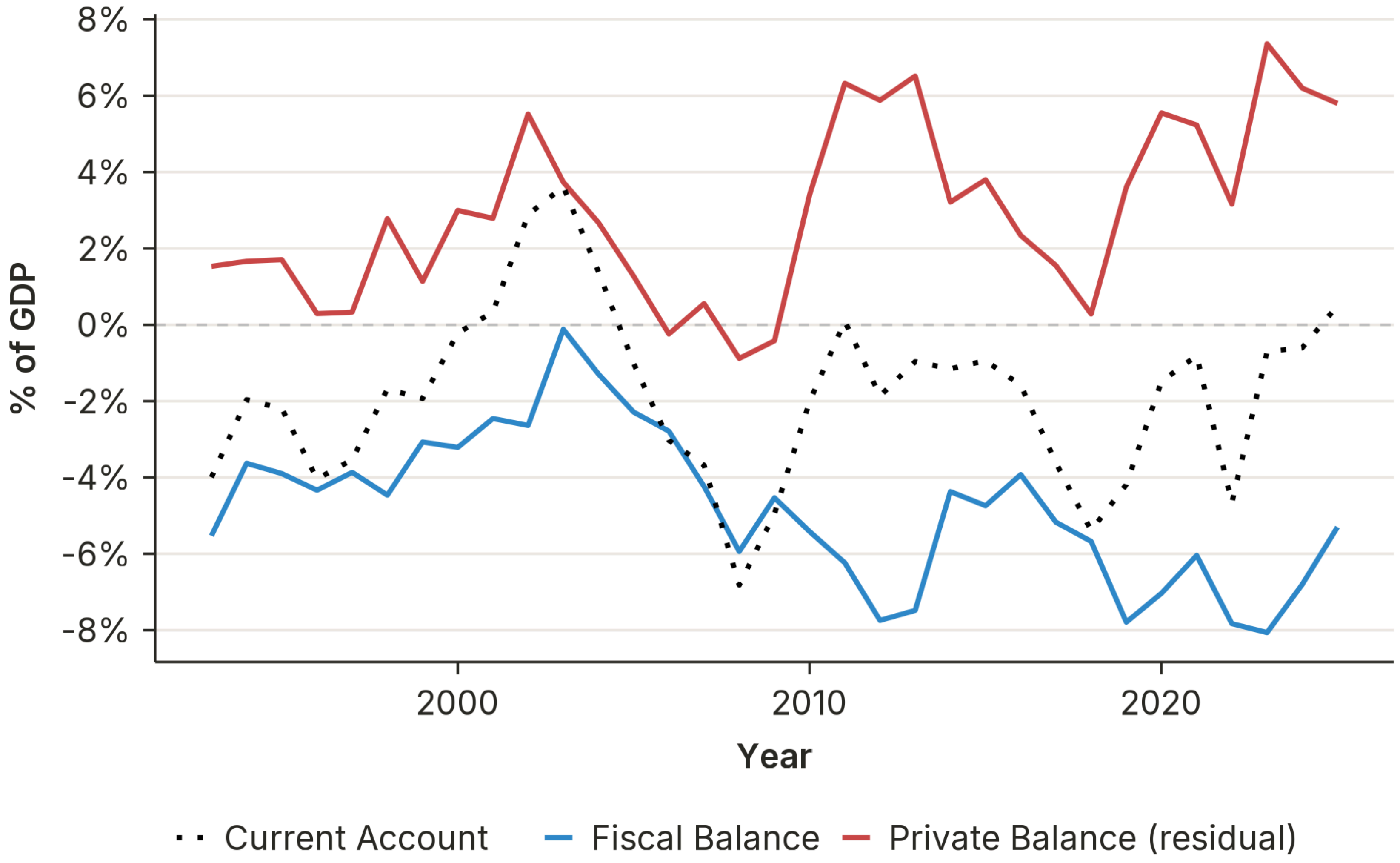
PART TWO

Fiscal imbalances.

The fiscal balance is the primary driver of current account movements — when deficits widen, the external position deteriorates almost mechanically.

FIGURE 3

The current account moves with the fiscal balance.

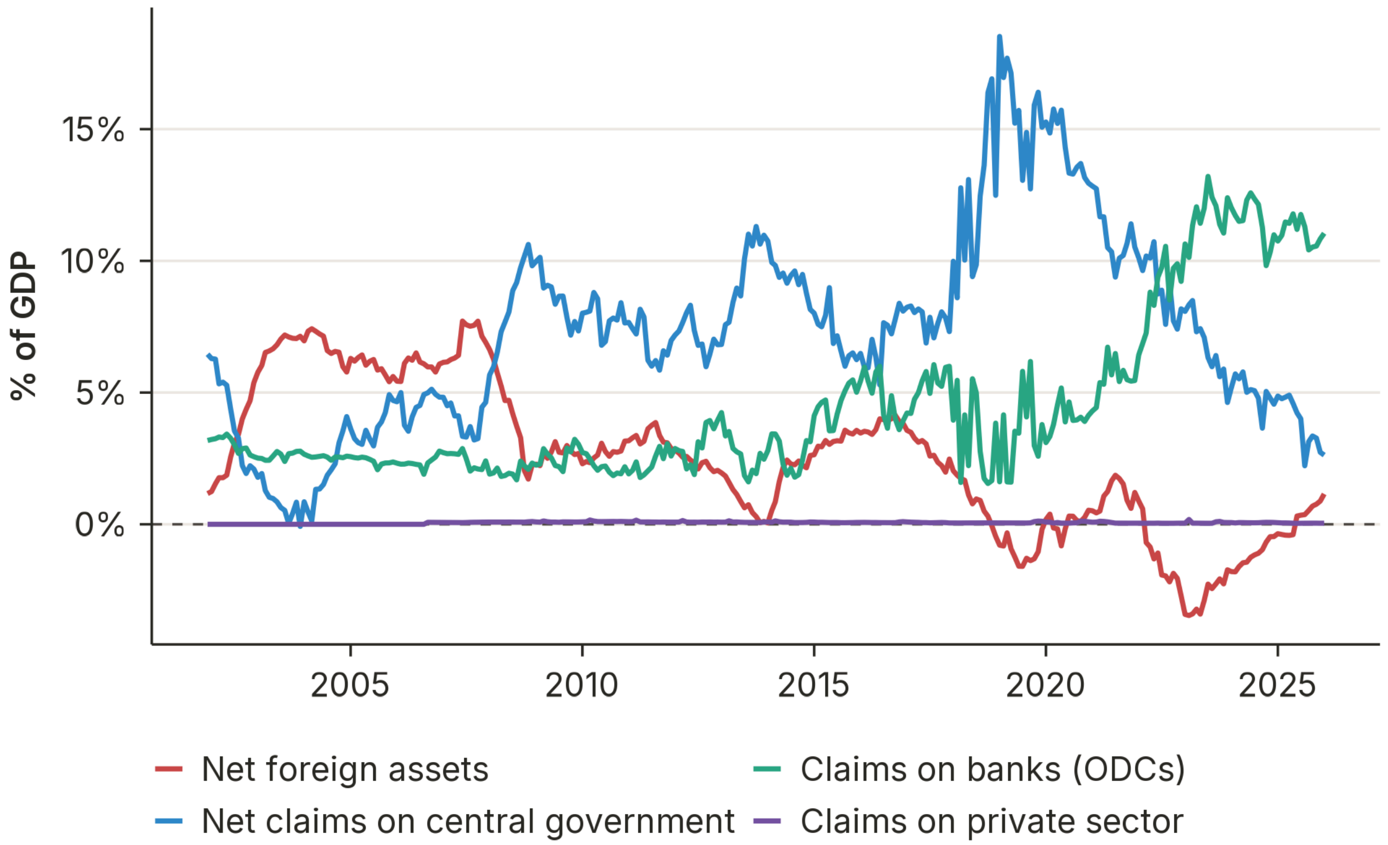


Source: IMF WEO October 2025.

Fiscal pressure becomes external vulnerability.

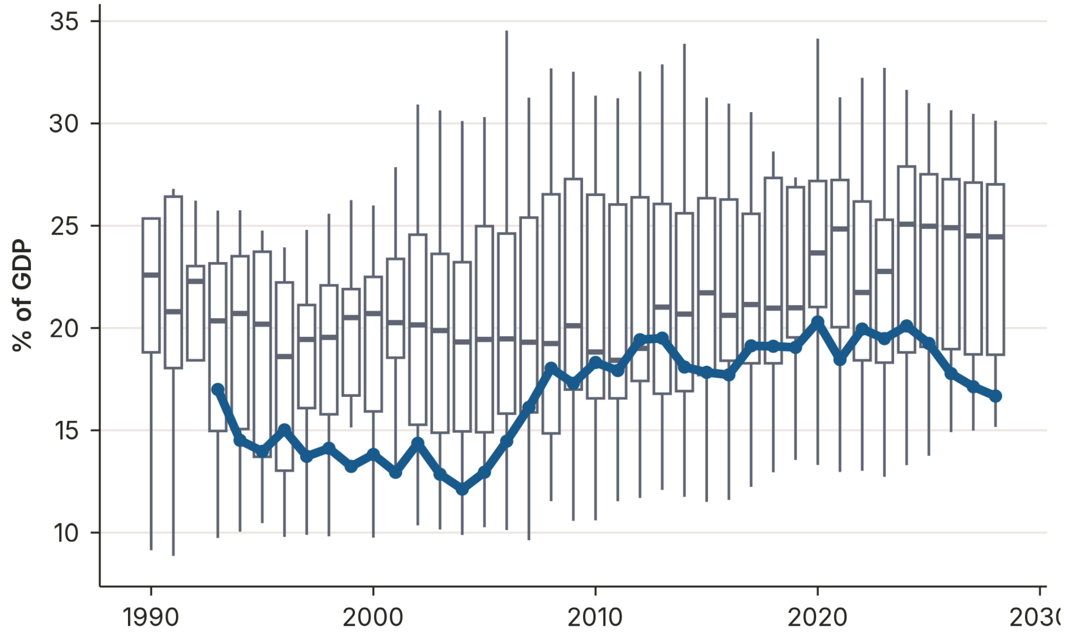
The State Bank's balance sheet tells the story: **net claims on government** have expanded dramatically while **net foreign assets** have been compressed.

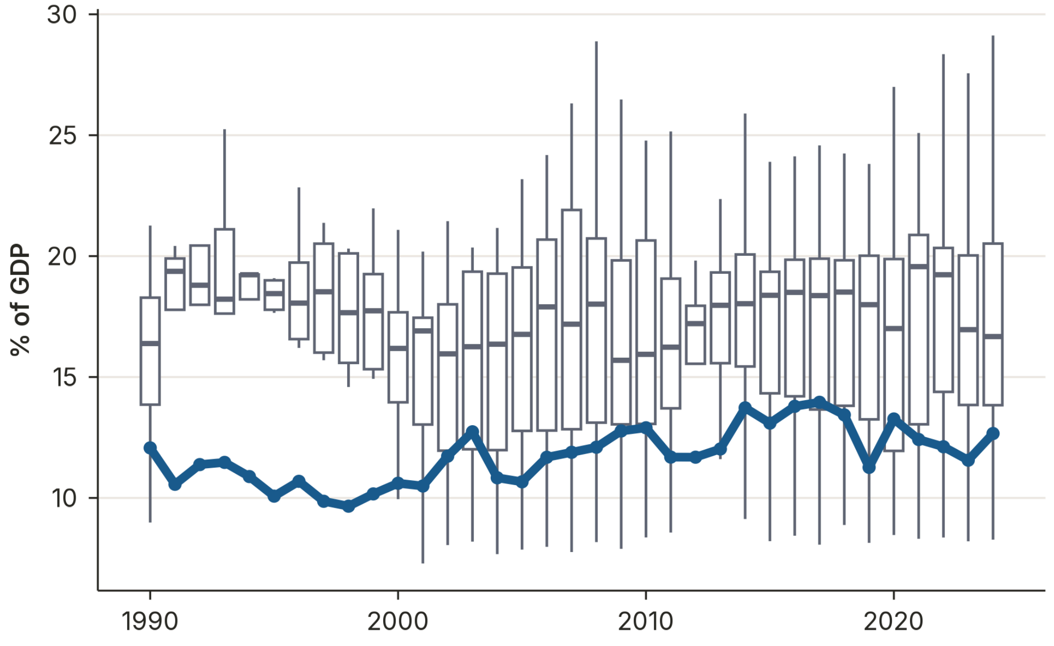
Domestic fiscal pressure converts, almost line-for-line, into external fragility.



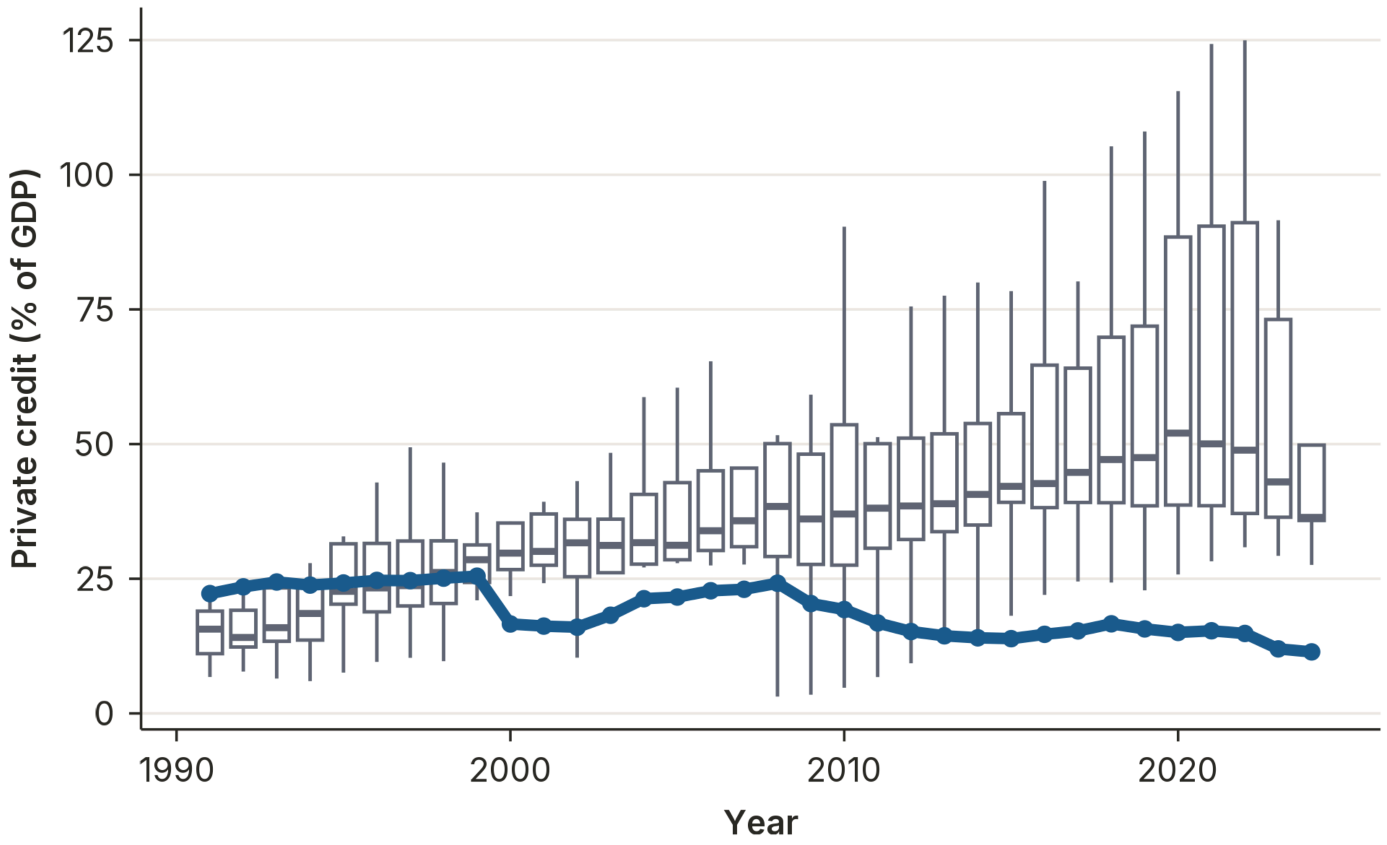
Revenue, not expenditure, is the binding constraint.

Pakistan's expenditure levels are not unusually high for its income peers. The gap sits on the revenue side.





Source: IMF World Revenue Longitudinal Data (WoRLD).



Government borrowing has squeezed out private credit.

Pakistan's domestic credit to the private sector — as a share of GDP — is **among the lowest in its comparator set**.

Fiscal dominance of the banking system leaves little room for the firms that would otherwise build new export capacity.

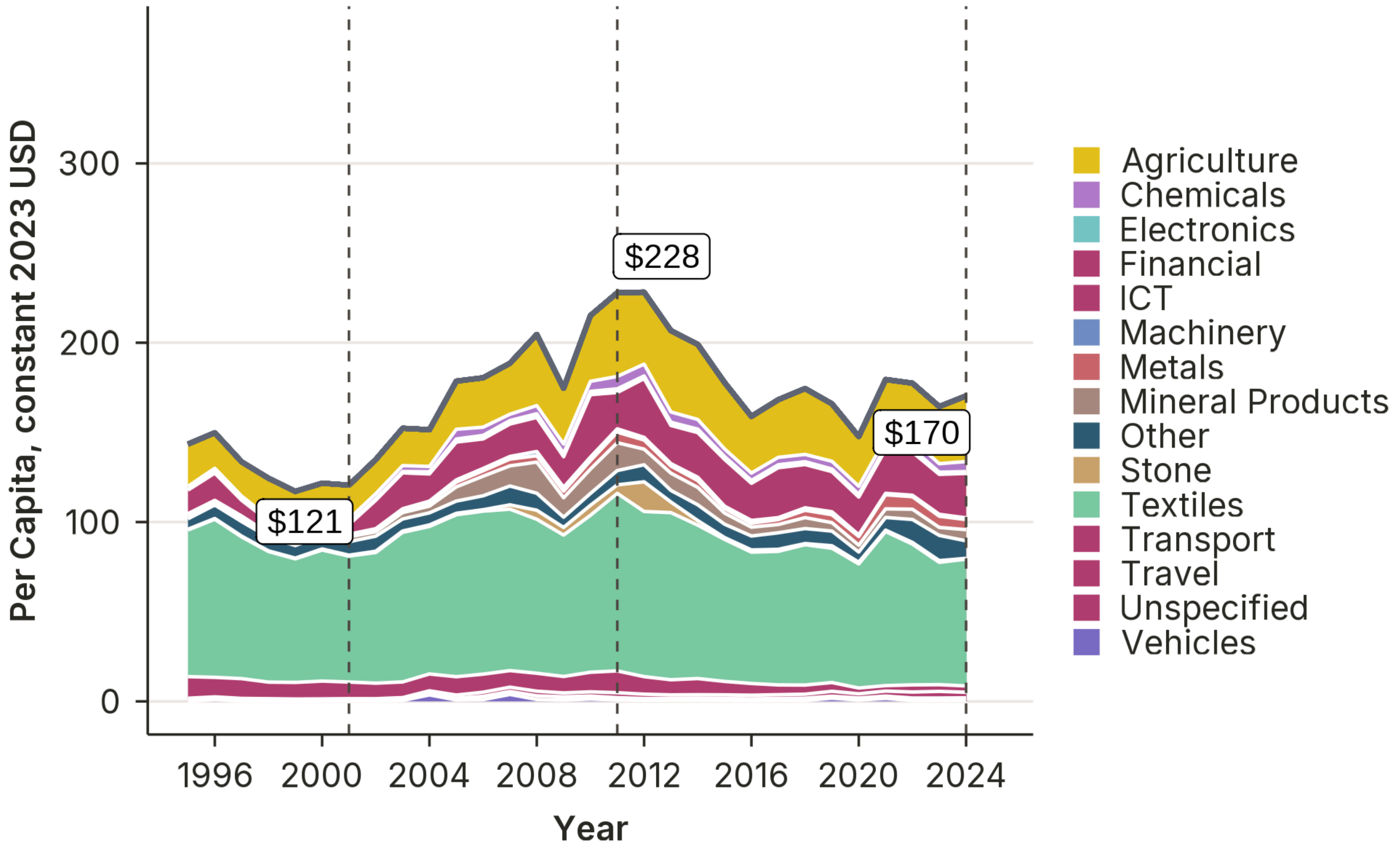
PART THREE

Lagging exports.

A 25% decline in exports per capita since 2011 — concentrated in a single sector, masked by remittances, and increasingly hard to reverse.

FIGURE 7

Exports per capita have fallen 25% since 2011.

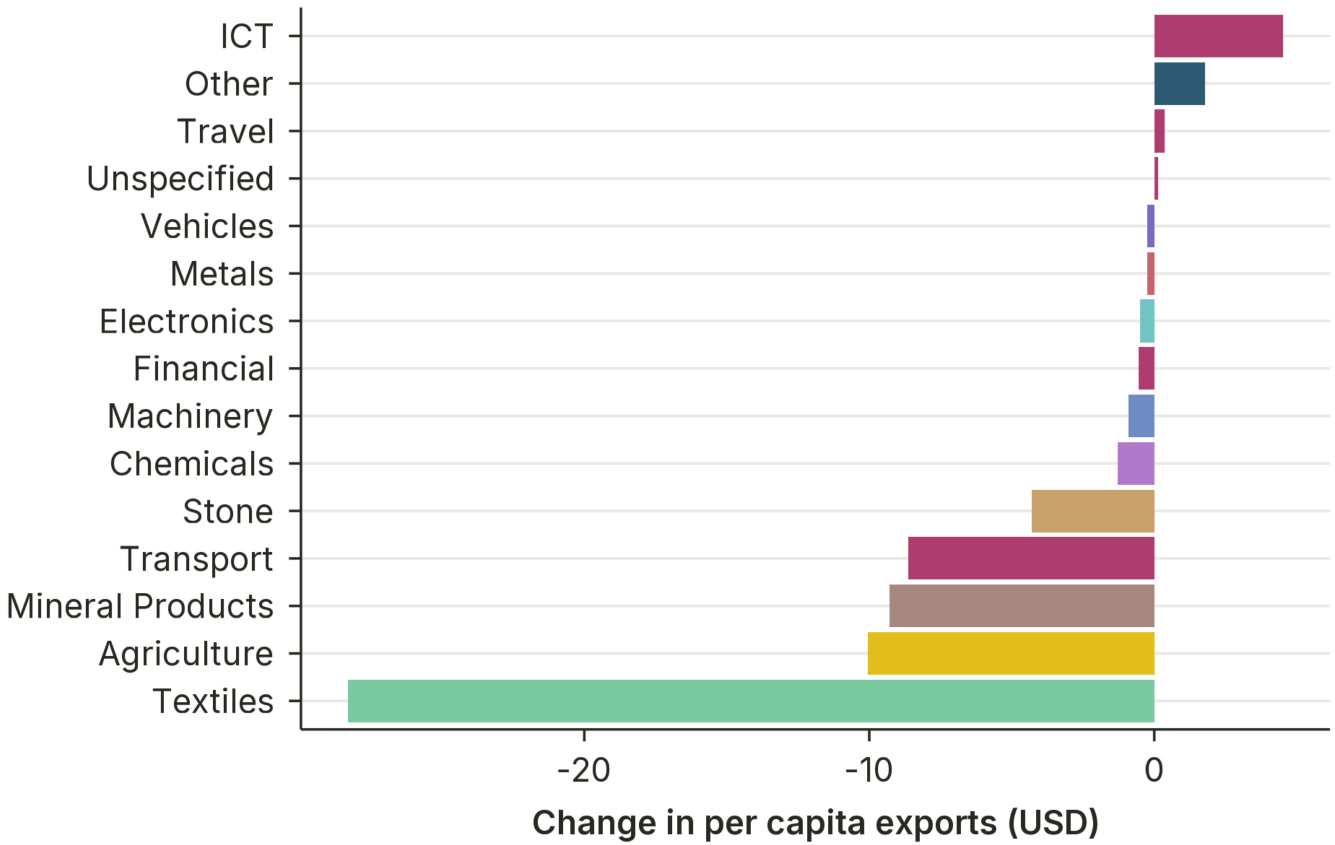


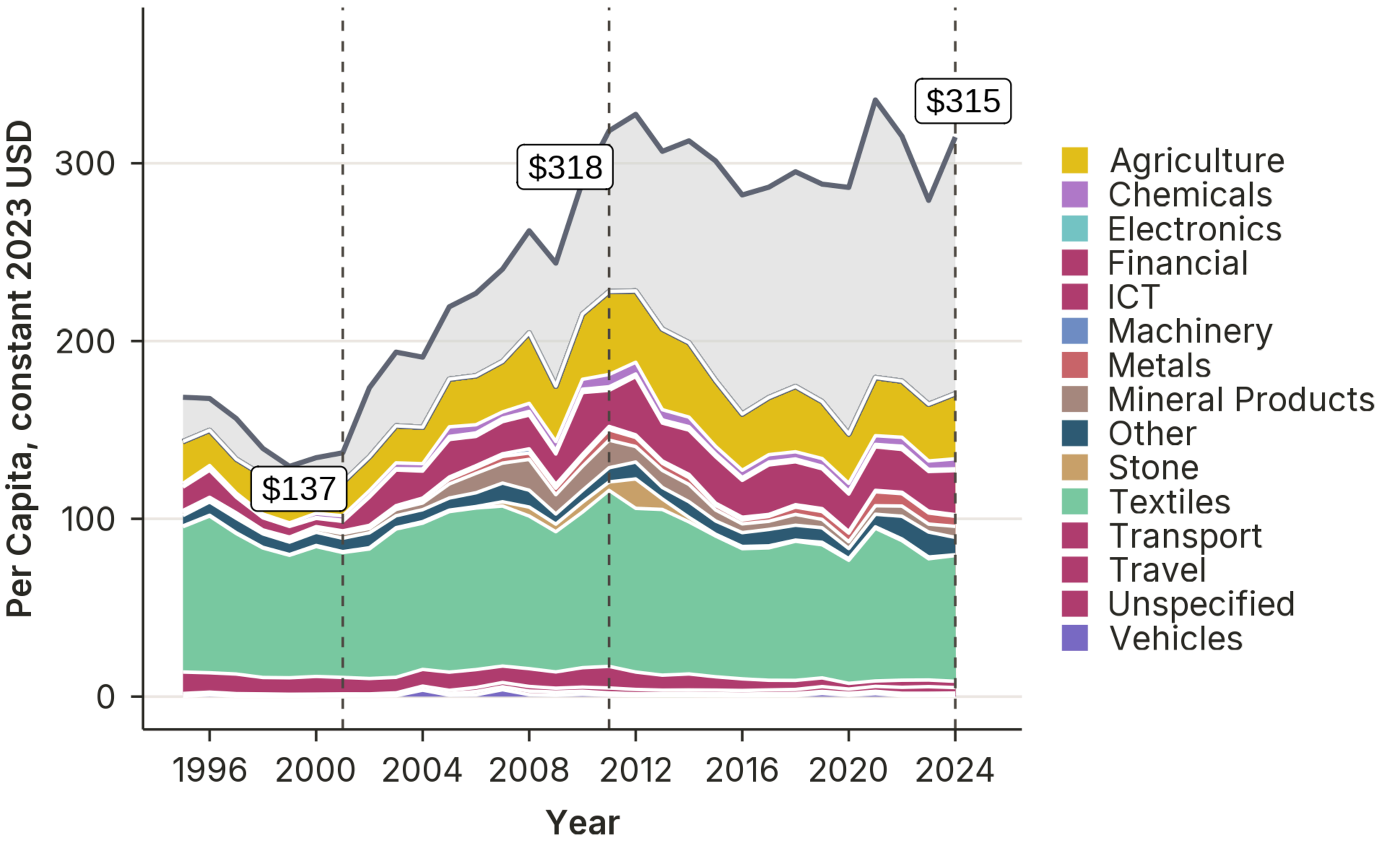
Source: Atlas of Economic Complexity; IMF WEO.

The decline is concentrated in textiles.

Other sectors have shown modest gains — but not enough to offset the **collapse in textile exports**, which still dominate Pakistan's export basket.

Concentration risk makes the entire economy sensitive to demand conditions in a single global market.





Remittances mask the decline, but cannot replace exports.

Growing remittances have partially offset the fall in export earnings, keeping import capacity stable.

But remittances do not generate the **learning-by-doing, technology transfer, and institutional upgrading** that come from competing in global product markets.

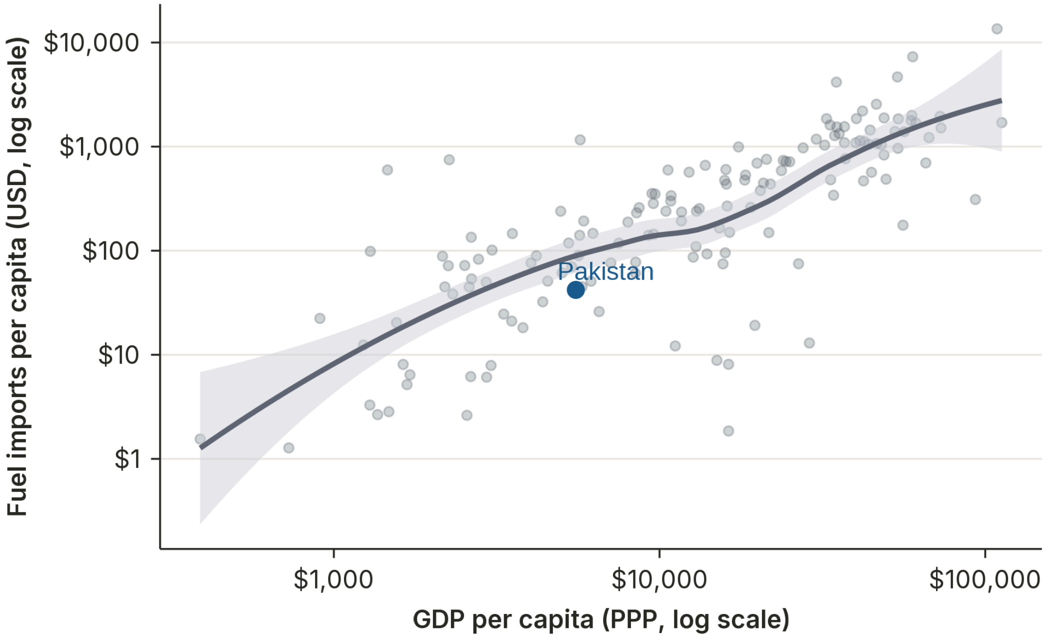
PART FOUR

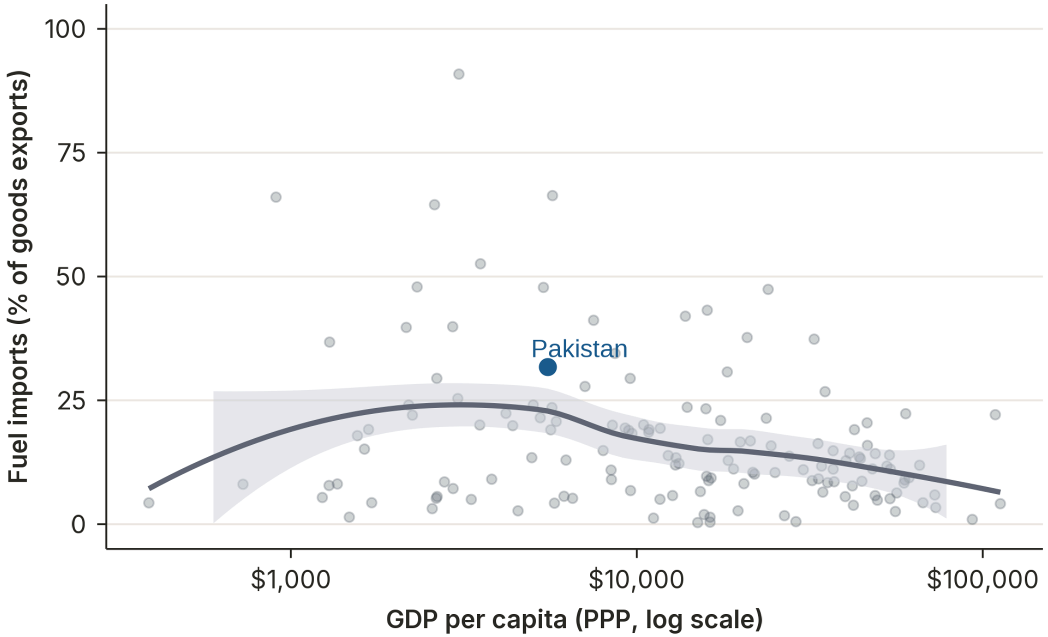
The energy constraint.

Energy imports look moderate in absolute terms — but relative to export earnings, they consume a disproportionate share of foreign exchange.

The fuel burden is heavy relative to what exports can earn.

Pakistan imports relatively little energy at its income level — but measured against export earnings, the burden is significantly heavier than peers.





Source: UN Comtrade; Atlas of Economic Complexity.

PART FIVE

Toward a growth strategy.

Fiscal imbalances and lagging exports reinforce each other. Addressing one without the other is insufficient.

A two-pillar engagement, connected by Action-Learning Teams.

The Growth Lab proposes an 18-month engagement structured around two pillars, with cross-cutting teams that embed analytical capacity inside government.

Pillar	Focus	Timeline
Macro-Fiscal Framework	Fiscal, monetary, and exchange rate policy that creates space for growth	Months 1–8
Export Strategy	Priority sectors, value chains, and city-level constraints	Months 4–18
Action-Learning Teams	Cross-cutting implementation and capacity building	Throughout

Thank you.

GROWTH LAB AT HARVARD KENNEDY SCHOOL — GROWTHLAB.HKS.HARVARD.EDU